

McDONALD'S CORPORATION

Fallen Arches?

A Dividend King Priced for Perfection

Equity Research Note · Consumer Discretionary — Restaurants (QSR) · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
REDUCE	\$122.00	\$231.89 Oct 2, 2026	-47.4%	Medium Beta 0.45

Snapshot			
Market cap	~\$164.1 bn	Shares out. (dil.)	~707.6 mn
Enterprise value	~\$203 bn	52-week range	\$231.89 – \$341.75*
Net debt	~\$39.2 bn	TTM P/E	~19.4×
Dividend yield	3.33% (\$7.72 annualized)	FY2025 revenue	\$26.89 bn (+4%)
FY2025 op. margin	46.1%	ROIC	~27–28%
Next catalyst	Q3'26 earnings, ~Oct 22	Analyst consensus	Moderate Buy, PT ~\$270–\$325

* New 52-week low set October 2, 2026.

Downgraded from BUY (\$300.00 target, September 26, 2026). The business did not change; the valuation was rebuilt under hardened discipline, and the old \$300 does not survive it.

This note is an independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from McDonald's SEC filings, earnings releases, the September 23, 2026 Investor Day materials, and reputable financial press as of October 4, 2026. Projections and the \$122 price target are the author's estimates.

1 Executive Summary

McDonald's (MCD) is the world's largest quick-service restaurant system — **46,028 restaurants in 100+ countries, 95% franchised, serving 70 million customers a day** — and its stock is trading at **\$231.89, a fresh 52-week low** after falling from \$341.75. The selloff is not mysterious: U.S. comparable sales grew just 0.8% in Q2 2026 on *declining guest counts*, management openly admitted it "simply didn't execute," Burger King just posted an 8.5% U.S. comp on sharper value, and the market hated the price tag on the new growth plan unveiled at the September 23 Investor Day (\$8.5 billion of franchisee support through 2036 — shares fell ~6% that day).

We rate MCD a **REDUCE** with a **\$122.00** 12-month price target (–47.4%). This is a downgrade, and it is entirely a valuation downgrade. The business quality our September note described — a 46% operating margin, 27%+ ROIC, ~\$7.2 billion of annual free cash flow, a 50-year dividend-growth streak (3.33% yield), the world's #1 restaurant brand — is all still true. What changed is the arithmetic under it. The old \$300 rested on a **6.5% WACC** (beta 0.45 plugged into CAPM) and **3% perpetual terminal growth** — and under those assumptions the **terminal value was 117% of enterprise value** while the first five explicit forecast years contributed *negatively* to value. That was not a valuation; it was a terminal-growth fantasy. Growth and margins were taken off the September 23 Investor Day slides with no haircut. The hardened rebuild — a 10-year scenario FCF DCF with **scenario-tiered discounts (11.5% / 9% / 8%)**, terminal growth capped at **2.5% on normalized mid-cycle margins**, and a bear case that genuinely hurts — is worth **bear \$41 / base \$127 / bull \$193 → \$122 weighted. Every scenario prices below \$231.89.** The stock embeds a 6.5% cost of capital and 3% perpetual growth that the hardened assumptions do not support.

Why REDUCE and not SELL? Because the franchise is genuinely elite — the bull case (\$193, still –17% below price) is a live outcome if the NEXT strategy executes, the dividend pays 3.33% to wait, and low-beta defensiveness has option value in a downturn. But at –47% to fair value, the risk/reward demands trimming exposure, not adding. **Do not buy the dip at the 52-week low: the low is not the bargain.**

Investment thesis — what is still true

The franchise model remains the moat that compounds. 95% franchised restaurants generate rents and royalties — high-margin, capital-light cash flows insulated from store-level labor and food-cost volatility. \$28.2 bn of owned real estate, 670 million pounds of annual U.S. beef purchasing power, and the world's #1 restaurant brand (\$42.6 bn brand value) are not replicable. This is why the call is REDUCE, not SELL — the business is not impaired, the price is.

The NEXT strategy is coherent and quantified — but the market's skepticism has a point. 2030 targets (low-to-mid-50% operating margin, ~250 bps restaurant-level efficiency, +1.5 pp share in chicken and beverages) are real, and the \$8.5 bn franchisee commitment earns high-teens corporate returns. But our hardened base case haircuts the Investor Day glide path: margins reach ~49.5% by 2035, not the low-50s by 2030, because franchisee adoption in a 95%-franchised system is persuasion, not command.

You are paid 3.33% to wait, with 50 years of raises behind it. The September 17 dividend increase to \$1.93/quarter (\$7.72 annualized) marked the 50th consecutive annual raise — Dividend King status. The payout ratio is a comfortable ~56%. The dividend is real; it just does not compensate for –47% of valuation downside.

Why the price is wrong — the bear case for the stock

The old valuation was a terminal-value artifact. At 6.5% WACC and 3% perpetual growth, the terminal was 117% of enterprise value and the first five explicit years subtracted value. Any DCF where the forecast period destroys value and the terminal creates 117% of it is not a model of the business — it is a model of the terminal assumption. The hardened rebuild puts explicit cash flows back in charge (TV/EV: 39% bear / 55% base / 62% bull, all under the 70% cap).

U.S. traffic is still falling and rivals are sharper. Q2's +0.8% U.S. comp was all price/mix; guest counts declined. Burger King's +8.5% and Taco Bell's +7% show value-seeking customers defecting. If

Anderson's reset doesn't stabilize traffic by early 2027, even the base case's 3.8% revenue CAGR is at risk.

Beef inflation is brutal and structural. U.S. beef costs expected above 10% in 2026, the cattle herd smallest since 1951, beef ~38% of U.S. food-and-paper costs. The CFO called company-operated store margins "not acceptable."

Franchisee economics constrain the NEXT plan. 95% of surveyed franchisees saw store-level profitability fall in Q1 2026; the plan asks ~\$800K per restaurant on top of \$400–450K remodel cycles. Our base case assumes the margin glide path slips — persuasion takes longer than command.

GLP-1 drugs are a slow-burn demand risk. ~30 million Americans now use them; Redburn estimates up to 28 million fewer annual McDonald's visits (~\$0.5–0.7 bn revenue drag).

2 Company Overview — What McDonald's Is and What It Is Doing

McDonald's Corporation, headquartered in Chicago, Illinois (~150,000 employees), is the world's largest restaurant company by systemwide sales. The business is best understood not as a restaurant operator but as a **franchisor and landlord**: independent owner-operators run ~95% of the 46,028 restaurants, while McDonald's collects rent (it owns most of the underlying land and buildings) plus royalties and fees — a model that produced a 46.1% consolidated operating margin in 2025.

Three reporting segments:

United States — ~39% of systemwide sales; ~13,800 restaurants, nearly all franchised. The profit engine and the current problem child (traffic declines, value-execution miss).

International Operated Markets (IOM) — ~35% of systemwide sales; company-operated and franchised restaurants in markets including the U.K., Germany, France, Australia, and Canada. The current growth driver: Q2 revenue +4.1%, operating income +5.4%.

International Developmental Licensed Markets (IDLML) — ~26% of systemwide sales; licensed and developmental markets including China and Japan. Highest unit-growth potential; China comps were negative in Q2 on a soft consumer backdrop.

Revenue mix (2025): franchised rents, royalties and fees **\$16.55 bn (+5%)**; company-operated restaurant sales **\$9.69 bn (–1%)**; other revenues \$0.65 bn; total **\$26.89 bn (+4%)**. Systemwide sales — the true scale of the brand, including franchisee sales — reached **\$139.4 bn in 2025 (+7%)** and ~\$37 bn in Q2 2026 alone.

What the company is doing right now — the five active fronts

1. McDonald's > NEXT (unveiled June 2026, detailed September 23). The successor to 2020's "Accelerating the Arches," organized around four pillars — Menu, Consumer, Restaurant, People. 2030 targets: low-to-mid-50% operating margin; ~250 bps of gross restaurant-level efficiency (~\$100K annual cash flow per average U.S. restaurant); +1.5 pp of global share in chicken and beverages; free-cash-flow conversion in the mid-to-high 80% range. Backed by ~\$8.5 bn of franchisee partnering support through 2036 plus ~\$3 bn/yr baseline capex. *Our hardened base case assumes the margin target slips: ~49.5% by 2035, not low-50s by 2030.*

2. Fixing U.S. value execution. The McValue platform failed on execution: only ~60–65% of U.S. restaurants honored recommended Everyday Affordable Price pricing. New U.S. president Skye Anderson leads the reset with base menu pricing now positioned below nearest competitors.

3. "Make It Golden" hospitality relaunch (launching October 5). A multi-year, systemwide customer-experience commitment with global retraining of 2M+ crew and partners, timed to Founder's Day.

4. Technology and AI at restaurant scale. ArchiQ, a generative-AI restaurant operating system, plus a retail media network piloted in 450 company restaurants. The digital backbone: ~220M 90-day active loyalty members (+13%) across 70 markets driving \$40B+ of annual loyalty sales (+20%).

5. Menu: chicken and beverages as the growth vectors. McCrispy now in 70+ markets; a new beverage platform (launched May 2026) beating expectations with checks ~50% above the full-day average; protein/GLP-1-oriented items (chicken bowls, snack wraps, egg bites).

Net assessment: an unusually *legible* corporate plan from a management team that just graded its own execution a fail. The strategy is coherent; the hardened question is whether a 95%-franchised system can execute it at the pace the Investor Day slides assume — and whether the price already assumes it can.

3 Financial Analysis

The P&L is a study in resilience: revenue has compounded through inflation, COVID, and consumer wobbles while the operating margin has held in the mid-40s — a profile no restaurant peer matches. 2022's dip reflects Russia-exit charges; the underlying franchise economics never broke. The financials are not the problem. The price is.

\$ mn	2021	2022	2023	2024	2025	H1'26
Revenue	23,223	23,183	25,494	25,920	26,885	13,616
YoY growth	+21%	−0%	+10%	+2%	+4%	+4%
Operating income	10,356	9,371	11,647	11,712	12,392	6,292
Operating margin	44.6%	40.4%	45.7%	45.2%	46.1%	46.2%
Net income	7,545	6,177	8,469	8,224	8,563	4,345
Diluted EPS (GAAP)	\$10.04	\$8.33	\$11.56	\$11.39	\$11.95	\$6.10
Diluted EPS (adj.)	\$9.28	\$10.10	\$11.94	\$11.72	\$12.20	\$6.21
Free cash flow	—	—	—	6,700	7,200	—
Dividend / share	\$5.25	\$5.66	\$6.23	\$6.78	\$7.17	\$3.72

Sources: McDonald's 10-K filings (SEC EDGAR), Q2 2026 earnings release. 2021/22 operating income classification differs across data providers due to Russia-sale charges; net income and EPS agree.

Balance sheet, cash flow & capital returns

Leverage is elevated but investment-grade and stable. Long-term debt \$40.0 bn at 12/31/25; cash \$0.8 bn → net debt ~\$39.2 bn. Company-presented Debt/EBITDA improved from 4.1× (2020) to 2.7× (2024).

Ratings: Moody's Baa1 / S&P BBB+, both stable.

Negative book equity is a feature, not a bug. Shareholders' deficit was \$(1.79) bn at 12/31/25, driven by decades of buybacks exceeding retained earnings. Judge the balance sheet on cash flow coverage: \$10.6 bn of operating cash flow in 2025 vs. \$3.4 bn capex.

Capital returns are the quiet compounding engine. \$7.1 bn returned in 2025 (dividends + buybacks); \$3.9 bn in H1 2026 including \$1.25 bn of buybacks. The share count has been ground down for decades, adding ~2 points a year to EPS growth.

The dividend is aristocratic. \$1.93/quarter declared September 17 (+4%) → \$7.72 annualized, 3.33% yield — the 50th consecutive annual increase (Dividend King). 10-year dividend CAGR 7.65%; payout ratio ~56%. At the current price the yield is the highest in 6+ years.

Returns on capital are elite. ROIC ~27–28%, stable over five years even as the capital base grew ~65% — the signature of a wide-moat compounder. None of this is in dispute; it is all in the price.

4 Growth Outlook & Forward Projections (hardened)

The September note's projections took the Investor Day's low-to-mid-50% margin target with no haircut. The hardened base case does not. We model revenue compounding at **3.8%** (2026–2035) — a mature QSR system

growing at roughly nominal GDP-plus — with operating margins expanding from 46.1% toward **~49.5% by 2035** (not the low-50s by 2030), because franchisee adoption in a 95%-franchised system is persuasion, not command. FCF is modeled at 58% of operating income (the 2025 ratio: \$7.19 bn / \$12.39 bn).

\$ bn	2025A	2026E	2027E	2028E	2030E	2035
Revenue (base case)	26.89	27.99	29.06	30.16	32.50	39.16
Revenue growth	+4%	+4.1%	+3.8%	+3.8%	+3.8%	+3.8%
Operating margin	46.1%	46.2%	46.5%	47.0%	48.5%	49.5%
Free cash flow	7.19	7.50	7.84	8.22	9.15	11.24
Dividend / share	\$7.17	\$7.72	\$8.20	\$8.75	\$10.00	—

Base-scenario path from the hardened v2 model: 2026 revenue +4.1%, then 3.8% CAGR to \$39.16 bn in 2035; margins 46.2% → 49.5%; FCF \$7.5 bn → \$11.24 bn. Dividend path assumes continued mid-single-digit raises.

Growth bridges (2026–2035)

Traffic recovery in the U.S. (~35% of growth). The highest-leverage, least-certain driver. Anderson's value reset + "Make It Golden" must turn negative guest counts positive. Every 1 point of U.S. comp is worth roughly \$130–140 mn of high-margin franchised revenue.

Unit expansion (~30%). ~2,600 gross openings in 2026; 50,000 restaurants by 2028. Development is overwhelmingly franchised — capital-light for McDonald's.

Chicken and beverage share gains (~20%). The +1.5 pp category-share targets attack the two fastest-growing QSR occasions. Beverages carry the highest margins in the building and skew to afternoon daypart expansion.

Digital, delivery and personalization (~15%). 220M loyalty members and a unified data lake feeding AI-driven offers; delivery is a ~\$20 bn systemwide business with a goal of routing 30% through the company's own app by end-2027.

5 Moat Assessment

McDonald's moat is **wide** — among the strongest in consumer — but it is a moat of scale and system, not of product. We score each pillar:

Moat pillar	Strength	Evidence
Brand	Very strong	World's #1 restaurant brand at \$42.6 bn brand value (Brand Finance 2026), ahead of Starbucks (\$37 bn) and KFC (\$16.5 bn); 17 menu brands each generating \$1 bn+ in annual sales.
Scale / purchasing	Very strong	~670M lbs of U.S. beef annually; unmatched supplier leverage; \$139 bn of systemwide sales fund marketing no rival can match.
Real estate	Strong	\$28.2 bn net property & equipment; ownership of land/buildings leased to franchisees = high-margin rental income plus site control.
Franchise system	Very strong	95% franchised → 46% operating margins, 27%+ ROIC, earnings insulated from store-level labor/food volatility; franchisee sunk capital makes defection uneconomic.
Digital ecosystem	Moderate–Strong	220M loyalty members, \$40B+ loyalty sales, unified global data lake; personalization and the retail-media pilot are emerging advantages.
Switching costs	Weak	Consumers multi-home across QSR; the moat is on the franchisee side (long leases, sunk remodel capital), not the consumer side.
Cost advantage durability	Moderate	Scale purchasing is real but beef inflation and franchisee cost pressure are currently testing it; efficiency gains (ArchIQ, 250 bps) are the offset.

Net: a **wide, scale-based moat with a demand-side soft spot**. Nobody can replicate the system; the risk is that value-conscious consumers temporarily rent their loyalty to whoever prices sharpest. The moat is why the call is

REDUCE and not SELL — the franchise will still be compounding in 2035. The price is the problem, not the moat.

6 Competitive Landscape

Global QSR is a scale game McDonald's invented — and in Q2 2026, two scaled rivals out-executed it on the one dimension that currently matters: **value**.

Competitor	Scale	Q2'26 read	Threat assessment
Restaurant Brands (QSR) Burger King / Popeyes / Tim Hortons	~31K units	Global comp +3.8%; BK U.S. +8.5%; Popeyes -5.1%	The sharpest near-term threat. BK's 2-for-\$5 / 3-for-\$7 value crushed MCD's +0.8% U.S. comp. Execution gap, not brand gap — which cuts both ways.
Yum! Brands (YUM) Taco Bell / KFC / Pizza Hut	57K units	Taco Bell SSS +7%; system sales +8%	Taco Bell is the best-run QSR concept in America right now; beverage pilots attack MCD's beverage push directly.
Wendy's (WEN)	~7K units	Deep value: 9.7x '26E P/E	Direct burger rival but sub-scale and struggling; trades at half MCD's multiple for a reason.
Chipotle (CMG)	~3.7K units	~30x P/E	Fast-casual quality halo at a growth multiple; different customer mission at 2x the price point.
Starbucks (SBUX)	~40K stores	Breakfast/beverage rival	The beverage-share battle runs through Starbucks' morning daypart; MCD's price advantage is its weapon.
Domino's (DPZ)	~21K stores	16.2x P/E	Best-in-class QSR operator on delivery/tech; a valuation comp more than a direct traffic rival.

The scoreboard that matters right now is U.S. value execution: BK +8.5% and Taco Bell +7% vs. MCD +0.8% is the market's evidence that the moat does not prevent traffic quarters. Our base case assumes traffic stabilizes — but the valuation no longer requires it to, because the price has already assumed the best.

7 Product Evaluation

McDonald's menu strategy is "**fewer, bigger, better**": 17 billion-dollar brands, ruthless SKU discipline, and growth concentrated in two vectors — chicken and beverages — where the company is under-shared relative to its beef dominance. We grade each platform on scale, economics, and strategic fit:

Platform	Scale / status	Economics & fit	Grade
Beef (Big Mac, Quarter Pounder, burgers)	Core; global beef share leader	Highest brand equity, but beef is ~38% of U.S. food-and-paper and inflation is >10%. Strategy: <i>hold</i> share, not chase it.	A–
Chicken (McCrispy, McNuggets, wraps)	McCrispy in 70+ markets; hand-breaded expanding '27	Lower input-cost volatility than beef; the +1.5 pp share target attacks Popeyes/Chick-fil-A's turf. Highest menu priority.	A–
Beverages (McCafé, new platform)	New platform launched May '26; beating plan	Best margins in the building; checks ~50% above average; afternoon daypart expansion.	A
Breakfast	U.S. daypart leader	Defensible ritual occasion; Egg McMuffin equity is durable; GLP-1 protein items (egg bites) extend it.	B+
McValue / EDAP (value platform)	National; execution failed in Q2	Only 60–65% pricing compliance killed the value signal. The <i>platform</i> is right; the <i>execution</i> was F-grade. Anderson's fix is the #1 near-term variable.	C+ → ?

Platform	Scale / status	Economics & fit	Grade
Digital / Loyalty / Delivery	220M members; \$40B loyalty sales; ~\$20B delivery	Data + personalization + owned-app delivery = structural check and frequency lift. Retail-media pilot is free optionality.	A–

Product thesis in one line: the core defends, chicken and beverages attack, value is being repaired, and digital is the connective tissue — a coherent portfolio. None of it is in dispute. All of it is in the price.

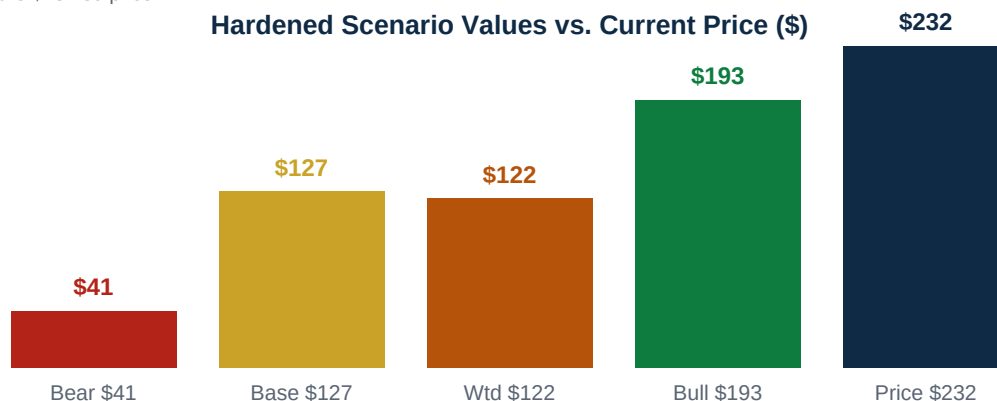
8 Valuation (hardened v2)

The September 26 note's \$300 target rested on three compounding leans: a **6.5% WACC** (a 0.45 beta plugged into CAPM — a rate that prices a BBB+ restaurant company like investment-grade debt), **3% perpetual terminal growth** on peak-cycle cash flows, and growth/margins taken off the September 23 Investor Day slides with no haircut. Under those assumptions the **terminal value was 117% of enterprise value** — and the first five explicit forecast years contributed **negatively** to value. Read that again: the model said the next five years of McDonald's cash flows were worth less than nothing, and the terminal assumption was worth more than the entire company. That is not a valuation. It is a terminal-growth fantasy with a DCF costume. This section replaces it with the hardened instrument: a **10-year scenario FCF DCF, weights 25/50/25**. Target = weighted DCF.

A. Hardened scenario DCF: bear \$41 / base \$127 / bull \$193 → \$122

Scenario (weight)	10-yr revenue CAGR	Margin path / discount / terminal g	Fair value
Bear (25%) — traffic stays negative; franchisee resistance delays NEXT; margins erode to ~41.5%	1.5%	45%→41.5% / 11.5% / 1.9%	\$41
Base (50%) — gradual traffic stabilization; margins 46.2%→49.5% by 2035; revenue \$26.9B→\$39.2B	3.8%	46.2%→49.5% / 9.0% / 2.5%	\$127
Bull (25%) — NEXT executes; traffic recovers by mid-'27; margins reach 52%	5.0%	46.5%→52% / 8.0% / 2.5%	\$193
Probability-weighted (25/50/25)	—	TV/EV: bear 39% / base 55% / bull 62% — all below the 70% cap	\$122

Model detail: FY2025 base \$26.89B revenue, 46.1% operating margin; FCF = 58% of operating income (the 2025 ratio); net debt \$39.2B (FY2025 10-K); 707.64M diluted shares. Terminals computed on *normalized mid-cycle margins* (47% base / 41.5% bear / 50% bull), not peak-cycle cash flows. Explicit-period cash flows carry the valuation in every scenario — the terminal no longer does all the work. Even the bull (\$193) sits **–17% below** the \$231.89 price.



Read the chart honestly: **every scenario — including the bull — prices below the current price**. The old chart showed a \$295 base comfortably above \$236.50; the new chart shows a market paying \$231.89 for cash flows the hardened model values at \$122 even in the middle outcome. The stock embeds a 6.5% cost of capital and 3% perpetual growth. The hardened assumptions do not support either.

B. Discipline checks

The bear compounds revenue at 1.5% (below the 3% discipline hurdle), margins sit ~800bp below the base norm, and terminal growth is derated 37% — all bear-discipline checks pass, and the bear sits 82% below price. Terminal value shares are below the 70% cap in all scenarios. The base discount (9%) is deliberately conservative: the model's own note judges FCFF at an equity-style hurdle 170–240bp above a true ~7% WACC. If anything, the base case is generous to the old story.

C. Relative multiples — disclosed cross-checks, not anchors

At \$231.89, MCD trades at **~19.4× trailing GAAP EPS (\$11.95)** and **~16.7× 2027E consensus (\$13.89)**. Versus franchised QSR peers: Yum! ~21.6× 2026E, Domino's ~21.1×, Restaurant Brands ~16.9×, Wendy's 9.7×. MCD is not obviously cheap on forward earnings — it trades in line with Restaurant Brands, whose margins are 800bp lower. The old note's claim that MCD was 'cheap vs. peers' leaned on the five-year average forward multiple of ~24× — a multiple struck in the zero-rate era, when a 6.5% WACC passed for reasonable. Under the hardened methodology these are disclosed context: the market *could* keep paying 19× trailing for a Dividend King, but multiples describe what investors pay at cycle turns, not what the cash flows are worth. The DCF says the cash flows are worth \$122; we do not depart from it, because there is no falsifiable justification for departing — the U.S. traffic problem is precisely the fundamental the multiples ignore.

D. What changed, line by line

Old base \$295 → new base \$127. The bridge: **WACC 6.5% → 9% discount** (the single largest driver — the old rate priced a cyclical restaurant company at bond-like rates); **terminal 3% → 2.5% on normalized margins** (the old terminal was 117% of EV on peak-cycle cash flows); **margins low-50s by 2030 → ~49.5% by 2035** (the Investor Day glide path, haircut for franchisee-adoption reality). Old bear \$212 → new bear \$41: the old bear wasn't a bear (a 17× multiple on stalled EPS — only 10% below price); the new one prices traffic staying negative with margins eroding. **Target: \$122**. The weighted DCF (\$122.00, exact). Implied downside from \$231.89: **–47.4%**.

9 Risks, Catalysts & What to Watch

Near-term catalysts are real — but note what they can and cannot do. A good Q3 or a successful "Make It Golden" launch supports the *bull case* (\$193). It does not touch the call: even the bull sits 17% below price.

Risk / catalyst	Direction	Timing	Why it matters
"Make It Golden" launch (Oct 5)	Catalyst ↑	Q4'26	First measurable read on service-speed and satisfaction recovery; early traffic data in Q4. Supports the bull, not the base.
Q3'26 earnings	Catalyst ↑↓	~Oct 22	U.S. comp and guest-count trajectory under Anderson is the single most important print of the year.
U.S. value reset traction	Binary	H1'27	EDAP compliance back above 90% + positive guest counts = bull case alive; continued share loss to BK/Taco Bell = bear case.
Beef inflation / herd rebuild	Risk ↓	2026–28	>10% U.S. beef inflation in 2026; herd smallest since 1951; no rebuild before 2028. Caps franchisee margins.
Franchisee adoption of NEXT	Risk ↓	2027–30	\$800K/store ask on strained balance sheets; 95% franchised means McDonald's persuades, not commands.
GLP-1 demand drag	Risk ↓	Structural	~30M U.S. users; Redburn est. up to 28M fewer visits/yr. Protein-menu pivot is the mitigant to watch.
Tariffs / input costs	Risk ↓	Ongoing	Imported inputs and equipment cost pressure; broad inflation "sticky... around the world" (Kempczinski).
China / IDLM softness + FX	Risk ↓	2026–27	Negative China comps; FY26 FX tailwind cut to \$0.15/share.

10 Recommendation

We rate McDonald's a **REDUCE** with a **\$122.00** 12-month price target, implying –47.4% from \$231.89. This is a downgrade, and it is entirely a valuation downgrade. The franchise is elite — 46% operating margins, 27%+ ROIC, a 50-year dividend streak, the world's #1 restaurant brand — and none of that is in dispute. What is in dispute is the price: at \$231.89 the stock embeds a 6.5% cost of capital and 3% perpetual growth that the hardened cash-flow math does not support. Every scenario in our model — bear \$41, base \$127, even the bull at \$193 — prices below the current quote.

Positioning. Trim into strength; do not initiate or add. The 3.33% dividend and low-beta defensiveness are reasons to keep a stub, not reasons to hold a full weight — they do not compensate for –47% of valuation downside. The falsifiable conditions for upgrading: the price falling toward ~\$150–\$160 (within ~25% of the base case, where the risk/reward rebalances) or evidence that U.S. traffic has sustainably inflected *and* the market has stopped paying a zero-rate-era multiple for it. Downgrade to SELL if U.S. guest counts keep declining through 2027, franchisee profitability deteriorates further, or the NEXT efficiency targets are formally walked back.

What would change our mind. To HOLD/BUY: a price near the base case (\$127–\$160) with traffic stabilizing — at that level the dividend, the moat, and the NEXT optionality become a genuine risk/reward. To SELL: structural, not cyclical, traffic decline (persistent negative guest counts into 2027) or a franchisee profitability crisis that stalls the NEXT program. Until then: REDUCE.

Sources & methodology: McDonald's 10-K filings (SEC EDGAR), Q2 2026 earnings release, September 23, 2026 Investor Day materials; quote/market data October 2, 2026. Valuation: hardened v2 scenario FCF DCF (10-year, discounts 11.5%/9%/8%, terminal growth $\leq 2.5\%$ on normalized mid-cycle margins, weights 25/50/25); relative multiples shown as disclosed cross-checks. The September 26, 2026 note (BUY, \$300) is superseded on valuation and verdict. **This report is for informational purposes only and is not investment advice, an offer, or a recommendation to buy or sell any security. Investing involves risk, including loss of principal.**